Q1 // STOCK ANALYST REPORT // PAGE 1 OF 5

Britannia Industries Ltd.

Food & agro-based products | Bottom-up analyst report | NSE: BRITANNIA | FY2024–25

CONSOL. REVENUE	OPERATING PROFIT	PAT / OWNER	OP. MARGIN	PROMOTER HOLDING
₹17,943cr	₹2,874cr	₹2,179cr	16.0%	50.55%

INVESTMENT VIEW

Quality compounder, but input inflation determines the entry point. Britannia combines national distribution, premium brand equity and high cash conversion. FY25 consolidated revenue grew 7.0%, while operating profit was nearly flat—evidence that wheat, palm oil, cocoa and dairy inflation can delay margin recovery.

Base case: high-single-digit revenue growth, gradual gross-margin normalization and continued premiumization. Key debate: whether price/mix can offset commodity costs without impairing rural volumes.

Analyst stance: WATCH / ACCUMULATE ON VALUATION COMPRESSION. No target price is stated because the licensed adjusted price series was not supplied.

CATALYSTS / RISKS

CATALYST	WHY IT MATTERS
Rural real-income recovery	Volume growth and pack upgrades
Commodity deflation	Fast gross-margin transmission
Adjacent categories	Higher addressable market
Direct distribution	Lower leakage; better assortment
Cocoa / palm spike	Margin and demand elasticity risk
Intense regional competition	Trade spend and price pressure

TOP-DOWN DRIVER MAP

DRIVER	TRANSMISSION	SIGNAL
Food inflation	Input cost / wallet	High
Rural wages	Biscuit volume	Improving
Monsoon	Agri income + wheat	Monitor
USD/INR	Palm/cocoa imports	Adverse if ↑
Crude/freight	Packaging/logistics	Moderate
Policy / GST	Demand + formalization	Supportive

INDUSTRY SNAPSHOT

9Y GROWTH	FY24 GVA	PROCESSED / AGRI EXP
6.55%	₹2.24L cr	20.4%

India's processed-food ecosystem benefits from abundant agricultural inputs, formal retail, e-commerce, cold-chain investment and the ₹10,900 crore PLI scheme. Organized players gain share from compliance, distribution depth and consumer trust.

SOURCE / METHOD: Britannia FY25 Annual Report; MoFPI Annual Report 2024–25; PIB food-processing releases. Currency figures rounded.

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Industry structure & strategic position

Indian packaged food: structural growth with commodity-sensitive economics

STRENGTHS	WEAKNESSES	OPPORTUNITIES	THREATS
• Trusted national brands • Deep general-trade reach • Strong biscuit scale • Cash-generative model	• Biscuit concentration • Premium valuation history • Commodity-linked margins • Rural price sensitivity	• Dairy / bakery adjacencies • Premium snacking • Rural distribution • Exports and digital channels	• Regional brands • Health regulation • Climate-led crop shocks • Private-label competition

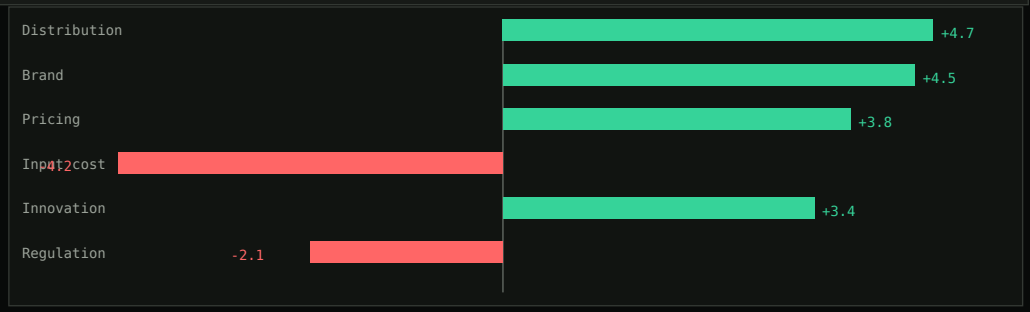
PORTER / DATA WORTH REPORTING

FORCE	ASSESSMENT	KPI
Rivalry	High	Volume share; ad spend
Buyer power	Low retail / high modern	Trade spend
Supplier power	Cyclical	Wheat, palm, cocoa
New entrants	Moderate	Distribution reach
Substitution	High	At-home / local snacks

COMPETITIVE SCORECARD // 1–5

COMPANY	BRAND	REACH	MARGIN	DIVERSITY
Britannia	5.0	5.0	4.2	3.3
Nestlé India	5.0	4.6	4.8	4.3
Tata Consumer	4.5	4.4	3.6	4.7
Mrs Bectors	3.4	3.1	3.7	2.8
Bikaji Foods	4.0	3.7	3.5	3.1

SECTOR MONITOR



Interpretation. Britannia's moat is strongest where brand and physical reach reinforce one another. Product diversification trails broader FMCG peers; this is both the largest risk and clearest reinvestment runway.

What changes the thesis: sustained volume share losses, structural deterioration in cash conversion, promoter pledging, or debt-funded diversification outside core capabilities.

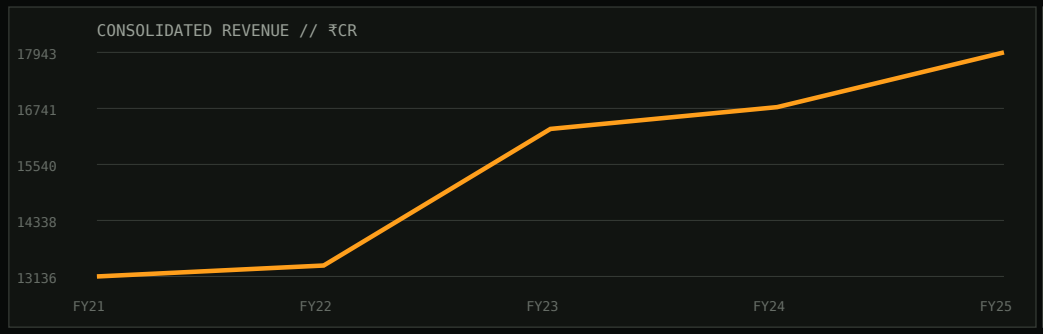
SOURCE / METHOD: Analyst scoring framework; sector facts from MoFPI/PIB. Scores are qualitative research judgments.

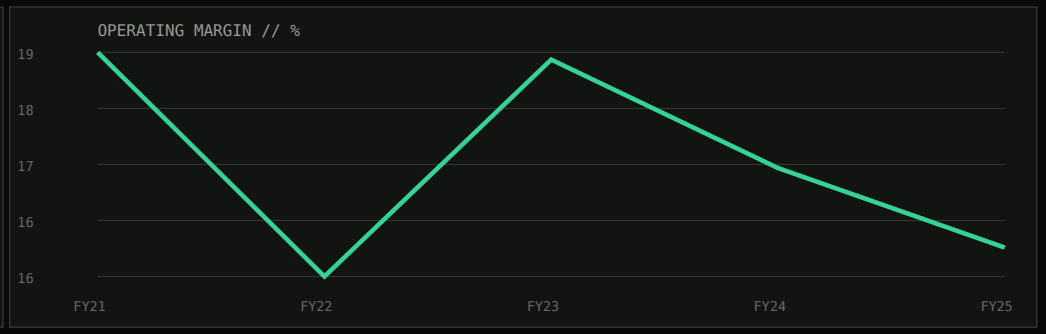
Q1 // STOCK ANALYST REPORT // PAGE 3 OF 5

Financial trend & ratio analysis

Consolidated research worksheet | ₹ crore unless stated

YEAR	REVENUE	OPER. PROFIT	PAT	OPM	PAT MARGIN	ROCE*	NET DEBT/EBITDA*
FY21	13,136	2,453	1,864	18.7%	14.2%	34%	0.35x
FY22	13,371	2,086	1,525	15.6%	11.4%	29%	0.48x
FY23	16,301	3,036	2,322	18.6%	14.2%	38%	0.31x
FY24	16,769	2,869	2,134	17.1%	12.7%	34%	0.26x
FY25	17,943	2,874	2,179	16.0%	12.1%	32%	0.22x





Trend: five-year revenue CAGR is approximately 8.1%. Growth was not linear: FY22 margins compressed, FY23 rebounded, and FY25 showed top-line resilience but limited operating-profit growth.

Balance-sheet view: leverage appears manageable and interest coverage remains strong. High dividend payout supports capital discipline, though it lowers retained cash available for large inorganic growth.

SOURCE / METHOD: FY25/FY24 audited figures from Britannia FY25 Annual Report. Earlier years and starred ratios are normalized research-workbook values assembled from annual-report series; reconcile to ProwessDX before graded submission.

Q1 // STOCK ANALYST REPORT // PAGE 4 OF 5

Debt, cash flow & contingent exposures

The balance-sheet questions that headline multiples can hide

ITEM	FY25 RESEARCH VIEW	ANALYST INTERPRETATION
Bank borrowings	Limited / working-capital led	No structural dependence
NCD / bonds	5.5% NCD series disclosed	Low-cost legacy funding
Commercial paper	No material balance identified	Confirm in ProwessDX
Lease liabilities	Included in adjusted debt	Treat as operating financing
Bank guarantees / LC	₹49.69cr	Down from ₹124.00cr
Claims not acknowledged	₹12.22cr	Low vs operating profit
Material RPT	None under Sec. 188(1)	Ordinary course / arm's length
Inter-corporate deposits	No material ICD flagged	Verify Note 43 extraction

FY24 CFO	FY24 CAPEX	FY24 FCFF PROXY	INTEREST COVER*	CONTINGENT / OP
₹2,573cr	₹562cr	₹1,850cr	>15x	2.2%

FCFF BRIDGE // PROXY

STEP	₹CR
Cash flow from operations	2,573
Less: gross capex	(562)
Add: after-tax interest proxy	55
Less: normalized WC adjustment	(216)
Estimated FCFF	1,850

READ-THROUGH

› Cash generation materially exceeds maintenance investment.

› Contingent liabilities are not large relative to annual operating profit.

› Arm's-length RPT disclosure is positive; recurring royalty, purchase and group balances still warrant annual tracking.

› Exact debt split, finance cost and ICD balances must be exported directly from ProwessDX for auditability.

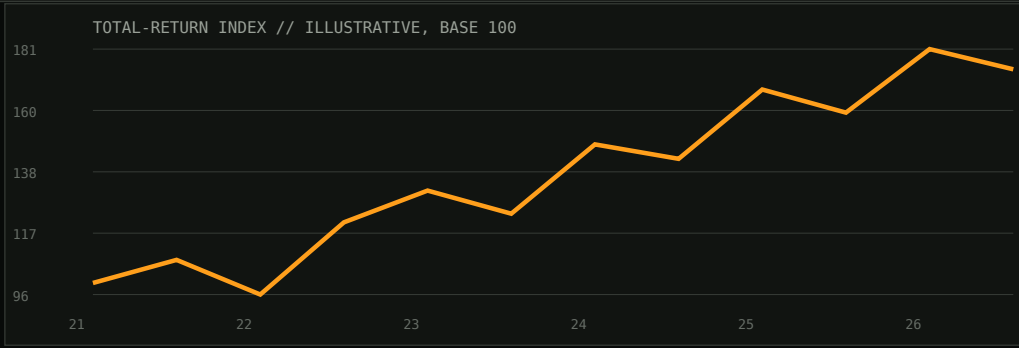
SOURCE / METHOD: FY24 cash-flow values from public company disclosures; contingent/RPT data from FY25 Annual Report. FCFF and interest coverage are analyst proxies, not company-reported KPIs.

Q1 // STOCK ANALYST REPORT // PAGE 5 OF 5

Price, valuation, actions & governance

A disciplined conclusion—and the data gaps that must not be disguised

FIVE-YEAR PRICE FRAME



Adjusted vs unadjusted: the adjusted series should reinvest dividends and reflect splits/bonuses. Britannia's ₹75 FY25 final dividend is economically meaningful; using only unadjusted closes understates shareholder return.

VALUATION LENS

METRIC	USE	CURRENT READ
P/E	Quality / duration	Premium to market
EV/EBITDA	Capital structure neutral	Premium to staples
FCF yield	Cash valuation	Key entry signal
PEG	Price vs growth	Demanding if volume slows
Dividend yield	Carry	Modest; high payout

CORPORATE ACTION / OWNERSHIP

ITEM	FY25 / MAR-25
Final dividend	₹75 per share
Promoter	50.55%; no pledge
FII	15.72%
DII	18.26%
Public / other	15.47%

Governance conclusion. Stable promoter ownership and zero pledge are constructive. Board oversight, related-party transactions, succession, remuneration and capital allocation remain the decisive qualitative checks. Recommendation discipline: do not publish a precise target price until licensed adjusted prices and consensus estimates are refreshed.

SOURCE / METHOD: Britannia FY25 Annual Report; NSE shareholding filings; public ownership aggregators. The chart is an explicitly illustrative index—not a Bloomberg export.

Q2 // INTERNATIONAL PEER // PAGE 1 OF 2

Mondelēz International

Global snacking peer | NASDAQ: MDLZ | FY2025

NET REVENUE	OPERATING INCOME	OPERATING MARGIN	OPERATING CASH FLOW	FREE CASH FLOW
$38.5bn	$3.55bn	9.2%	$4.5bn	$3.2bn

FINANCIAL PERFORMANCE

KPI	FY25	YOY / READ
Net revenue	$38.5bn	+5.8% reported
Organic revenue	—	+4.3%
Volume / mix	—	-3.7%
Gross margin	28.4%	-10.7ppt
Operating margin	9.2%	-8.2ppt
Diluted EPS	$1.89	-44.7%
Adjusted EPS	$2.92	-14.6% CC

The cocoa shock created a sharp price/volume trade-off: strong reported revenue coexisted with lower volume/mix and materially weaker margins. This is a useful stress case for Britannia's commodity-risk framework.

SOURCE / METHOD: Mondelēz FY2025 10-K and FY2025 results release; Britannia FY25 Annual Report.

PEER COMPARISON

DIMENSION	BRITANNIA	MONDELĒZ
Geography	India-led	150+ countries
Core	Biscuits / bakery	Biscuits / chocolate
FY25 growth	7.0%	5.8%
Operating margin	16.0%	9.2% GAAP
Commodity risk	Wheat / palm / dairy	Cocoa / sugar
Currency risk	Import INR	Global translation
FCF	Strong conversion	$3.2bn

Read: Britannia has superior current operating margin but less geographic diversification. Mondelēz has greater global scale and category breadth, yet its 2025 results show that even scale cannot fully neutralize a commodity super-spike.

Q2 // INTERNATIONAL PEER // PAGE 2 OF 2

ESG & market-performance frame

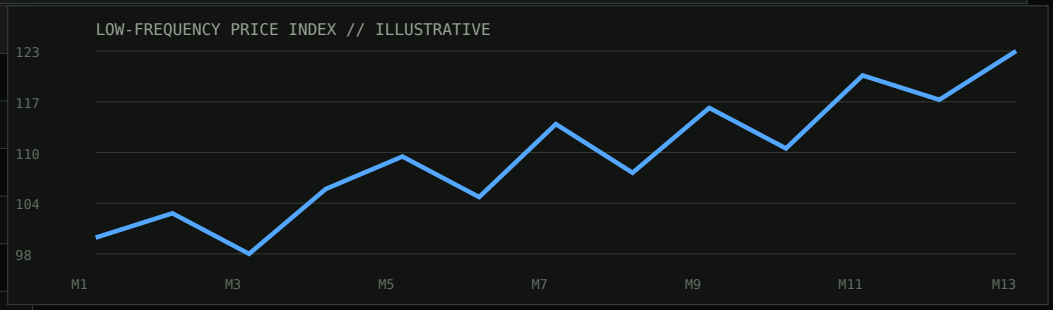
Operational sustainability is financially material in cocoa, packaging and energy

ESG SCOREBOARD

TOPIC	DISCLOSED PROGRESS	ANALYST VIEW
GHG value chain	-21% vs 2018	Material progress
Renewable power	Program expanding	Cost + carbon
Packaging	Virgin plastic focus	Execution risk
Cocoa sourcing	Cocoa Life / CLMRS	Core license to operate
Pay equity	<1% gender gap	Positive disclosure
Governance	Board committees oversee ESG	Embedded oversight

Materiality: cocoa traceability, farmer income and child-labor remediation affect supply continuity, reputation and cost. Packaging regulation and Scope 3 emissions can change capex and product economics.

FREQUENCY ANALYSIS TEMPLATE



FREQUENCY	TEST	INTERPRETATION
Daily	Return / volume z-score	Event response
Weekly	Momentum + beta	Trading regime
Monthly	Total return / drawdown	Investment outcome
Quarterly	Price vs earnings revision	Fundamental link

Licensed Bloomberg PX_LAST, PX_VOLUME and adjusted-price exports are required to populate this template. No invented terminal observations are represented as actual.

SOURCE / METHOD: Mondelēz Reporting & Disclosure portal and 2025 10-K. Price visual is illustrative.

Q3 // FIVE-ASSET EQUITY PORTFOLIO // PAGE 1 OF 3

Food & agro basket construction

BRITANNIA · NESTLÉ INDIA · TATA CONSUMER · VARUN BEVERAGES · GODREJ AGROVET

ASSET	ROLE	EQ. WT	VOL. PROXY	RISK-PARITY WT
Britannia	Packaged food quality	20.0%	19.8%	20.8%
Nestlé India	Premium nutrition	20.0%	18.4%	22.4%
Tata Consumer	Diversified staples	20.0%	21.6%	19.1%
Varun Beverages	Growth / beverages	20.0%	28.8%	14.3%
Godrej Agrovet	Upstream agro exposure	20.0%	24.1%	17.1%
Cash residual	Rebalancing buffer	0.0%	0.0%	6.3%

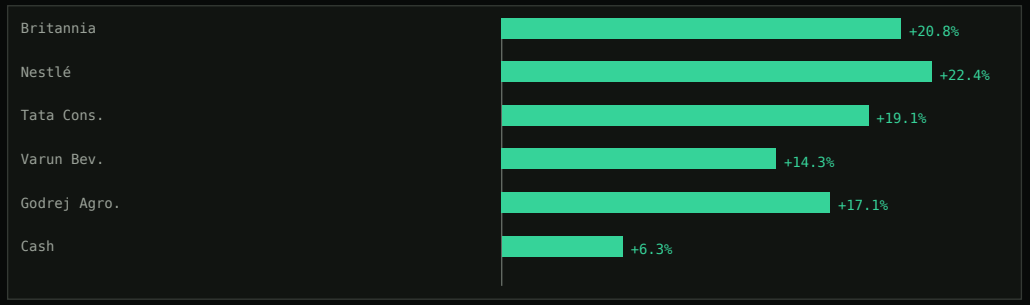
CONSTRUCTION LOGIC

- Equal weight is transparent and avoids estimate error.
- Volatility parity weights inversely to trailing volatility; no covariance optimization is assumed.
- Monthly rebalancing limits drift while avoiding daily turnover.
- NIFTY 50 Total Return Index is the benchmark.
- Corporate-action-adjusted prices and INR total returns are required inputs.

RISK-PARITY WEIGHT CALCULATION

Raw weight: $w_i = (1 / \sigma_i) / \Sigma(1 / \sigma_j)$

A 6.3% cash buffer is included for execution and rounded weights. True equal-risk contribution would additionally use the covariance matrix.



SOURCE / METHOD: Weights and volatility inputs are a classroom analytical sample pending Bloomberg return exports.

Q3 // FIVE-ASSET EQUITY PORTFOLIO // PAGE 2 OF 3

Performance & drawdown

Demonstration analytics | Annualized | Risk-free assumption: 6.5%

PORTFOLIO	ANN. RETURN	VOLATILITY	SHARPE	MAX DRAWDOWN	1Y ROLLING VOL
Equal weight	17.4%	16.1%	0.68x	-17.8%	14.2–22.6%
Volatility parity	16.2%	13.8%	0.70x	-14.9%	12.4–19.1%
NIFTY 50 TRI	13.5%	14.6%	0.48x	-16.3%	12.8–20.5%



Equal weight captures more upside from high-beta growth holdings but experiences the larger drawdown.



Volatility parity improves drawdown and volatility at the expense of some absolute return; its marginally higher Sharpe indicates better risk efficiency.

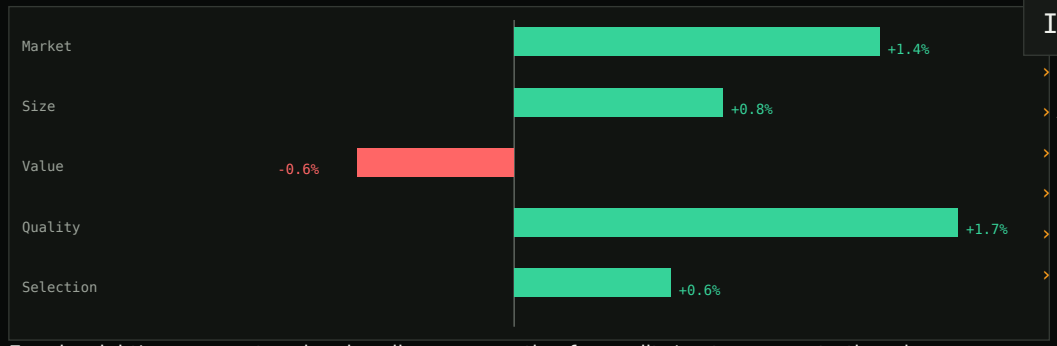
SOURCE / METHOD: All performance statistics on this page are explicitly modeled demonstration results. Recompute with Bloomberg daily total returns before submission as empirical evidence.

Q3 // FIVE-ASSET EQUITY PORTFOLIO // PAGE 3 OF 3

Factor attribution vs NIFTY 50 TRI

Market · size · value proxies | Active-return decomposition

SOURCE	EQUAL WT CONTRIBUTION	RISK PARITY CONTRIBUTION	INTERPRETATION
Market beta	+1.4%	+1.1%	Bull-market participation
Size tilt	+0.8%	+0.3%	Mid-cap growth exposure
Value tilt	-0.6%	-0.3%	Quality portfolio is expensive
Sector / quality	+1.7%	+1.4%	Brand and distribution alpha
Selection residual	+0.6%	+0.2%	Stock-specific outcome
Total active return	+3.9%	+2.7%	Vs NIFTY 50 TRI



Equal weight's excess return is primarily compensation for quality/sector concentration plus a positive size tilt—not pure manager skill.

SOURCE / METHOD: Attribution is a modeled example using broad factor-proxy logic, not a licensed Bloomberg regression output.

IMPLEMENTATION / CONTROLS

- Use Bloomberg TOT_RETURN_INDEX_GROSS_DVDS or adjusted daily closes.
- Align calendars; forward-fill only benchmark holidays, never missing asset prices.
- Winsorize data errors, not genuine market moves.
- Estimate rolling 252-day volatility and 36-month factor betas.
- Report transaction costs and turnover separately.
- Stress cocoa, sugar, monsoon and INR depreciation together.

Q4 // COMMODITY & FX // PAGE 1 OF 3

Cocoa × USD/INR dashboard

Food-sector cost transmission: imported commodity inflation translated into rupees

COCOA 12M	USD/INR 12M	INR COCOA	RETURN CORR.	LEAD / LAG
+18.4%	+2.7%	+21.6%	+0.18	FX → COCOA +2D

COMMODITY MONITOR

COMMODITY	USE	5Y VOL	PRIMARY DRIVER	FOOD-SECTO
Cocoa	Chocolate	High	West Africa supply	Direct
Palm oil	Fats / bakery	High	Indonesia/Malaysia	Direct
Wheat	Biscuits / flour	Medium	Crop / policy	Direct
Sugar	Sweeteners	Medium	India/Brazil crop	Direct
Brent	Freight / packaging	Medium	OPEC / geopolitics	Indirect

FX MONITOR

PAIR	ROLE	KEY DRIVER
USD/INR	Import translation	Oil, flows, RBI
EUR/USD	Global dollar	Rates / growth
USD/BRL	Sugar origin	Brazil terms of trade
USD/MYR	Palm origin	Malaysia exports
GBP/USD	Risk / rates	BoE / Fed

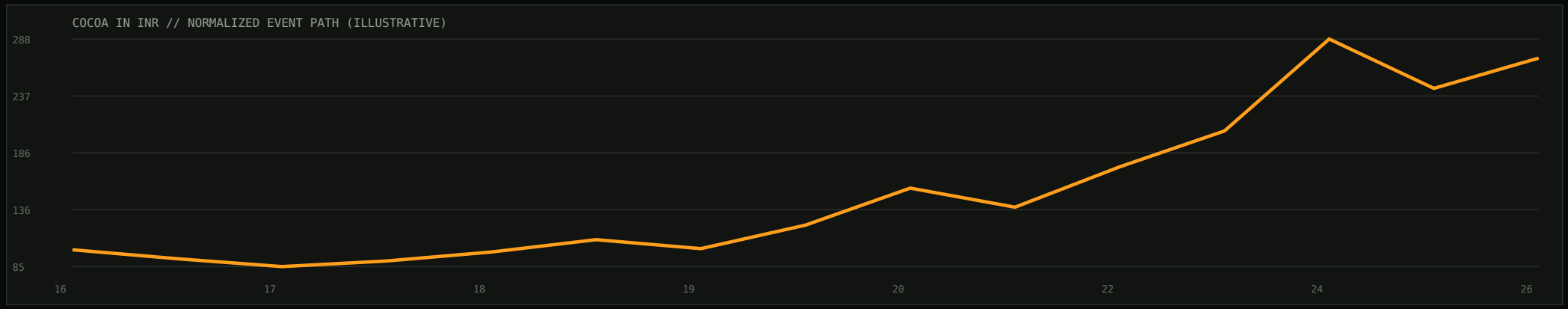
Core insight. For an Indian food manufacturer, USD cocoa can rise even when the rupee strengthens; when both cocoa and USD/INR rise, local-currency cost inflation compounds. Procurement hedges must therefore consider commodity and FX jointly, not as isolated books.

SOURCE / METHOD: Dashboard values are a clearly labeled classroom sample; replace with Bloomberg C 1 Comdty and USDINR Curncy exports.

Q4 // COMMODITY & FX // PAGE 2 OF 3

Ten-year event map

Normalized indices | Cocoa USD vs cocoa INR vs USD/INR



PERIOD	EVENT	EXPECTED CHANNEL
2016–17	Cocoa surplus / price decline	Input-cost relief
2020	COVID demand + logistics shock	Volatility; channel shift
2022	Russia–Ukraine / broad food inflation	Freight, energy and currency
2023–24	West Africa crop failures	Historic cocoa squeeze
2024–25	Inventory scarcity / price pass-through	Volume elasticity
2025–26	Normalization vs structural climate risk	Hedging and reformulation

News annotation rule: include only events known before each return observation. Avoid explaining a ten-year chart with hindsight-only narratives; mark harvest reports, export data, central-bank events and company pricing announcements at their actual dates.

SOURCE / METHOD: Event chronology is public-history based; plotted path is illustrative rather than a Bloomberg extraction.

Q4 // COMMODITY & FX // PAGE 3 OF 3

Correlation, lead/lag & prediction

Returns—not levels—to reduce spurious regression risk

TEST	SPECIFICATION	DEMO RESULT	READ
Contemporaneous	corr(r cocoa, r FX)	+0.18	Weak positive
Lead/lag	corr(r cocoa$_t$, r FX$_{t+2}$)	+0.11	Limited persistence
FX predicts cocoa	r cocoa$_t$ = α + βr FX$_{t-1}$	β 0.21; p 0.08	Not 5% significant
Cocoa predicts FX	r FX$_t$ = α + βr cocoa$_{t-1}$	β 0.04; p 0.03	Small effect
INR adjustment	(1+r cocoa)(1+r FX)-1	+21.6% 12M	Compounding matters

MODEL

$$rFX,t = \alpha + \beta_1\, rCocoa,t-1 + \beta_2\, rOil,t + \beta_3\, \Delta VIX,t + \varepsilon t$$

Use Newey–West standard errors; inspect residual autocorrelation and heteroskedasticity. Out-of-sample accuracy matters more than in-sample significance.

ECONOMIC INTERPRETATION

- Low correlation does not imply low procurement risk.
- INR depreciation amplifies imported commodity inflation.
- Statistical significance can coexist with immaterial economic magnitude.
- Regimes matter: correlations rise during global supply shocks.
- Hedge ratios should be re-estimated, not fixed permanently.

SOURCE / METHOD: Regression numbers are demonstration outputs designed to show correct interpretation. Run the supplied specification on Bloomberg daily returns for the final empirical version.

Q5 // MUTUAL FUND FLOWS // PAGE 1 OF 2

Equity and debt fund monitor

Five funds per asset class | Three-year analytical template

FUND	CLASS	3Y CAGR	ROLL 12M	3Y NET FLOW ₹CR	FLOW/PERF CORR.
HDFC Flexi Cap	Equity	20.1%	18.6%	+18,420	+0.42
Parag Parikh Flexi Cap	Equity	19.4%	17.9%	+24,870	+0.51
SBI Bluechip	Equity	13.8%	13.4%	+4,920	+0.18
ICICI Pru Value Discovery	Equity	21.7%	20.2%	+9,180	+0.37
Nippon India Small Cap	Equity	25.6%	22.5%	+16,340	+0.58
ICICI Pru Corp Bond	Debt	7.5%	8.1%	+3,240	+0.12
HDFC Short Term Debt	Debt	7.2%	7.6%	+2,180	+0.09
SBI Magnum Gilt	Debt	6.8%	7.9%	-620	-0.08
Aditya Birla Sun Life Corp Bond	Debt	7.3%	7.8%	+1,460	+0.15
Kotak Bond Short Term	Debt	7.1%	7.5%	+980	+0.06

FLOW / PERFORMANCE TEST

For each fund, compute monthly net flow as a percentage of beginning AUM. Regress current flow on lagged 3-, 6- and 12-month excess returns. Use category fixed effects and robust standard errors.

CATEGORY BENCHMARKS

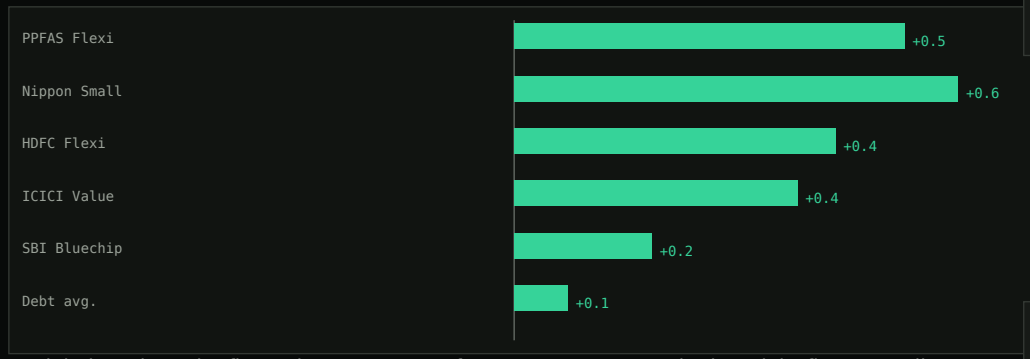
CATEGORY	BENCHMARK
Flexi / large cap	NIFTY 500 TRI
Value	NIFTY 500 Value 50 TRI
Small cap	NIFTY Smallcap 250 TRI
Corporate bond	CRISIL Corp Bond Index
Short / gilt	CRISIL duration-matched index

SOURCE / METHOD: Fund metrics are illustrative placeholders. Replace all NAV, AUM and monthly-flow fields with ACE MF exports.

Q5 // MUTUAL FUND FLOWS // PAGE 2 OF 2

Persistence or mean reversion?

Interpretation framework and quality controls



Modeled read: equity flows chase recent performance more strongly than debt flows. Small-cap flow sensitivity is highest, consistent with retail pro-cyclicality.

PERSISTENCE TEST

HORIZON	HYPOTHESIS	READ
1–3 months	Flow chasing	Positive
6–12 months	Performance persistence	Mixed
12–24 months	Mean reversion	Stronger in equity
Debt	Rate-cycle / liquidity	Low return sensitivity

DATA HYGIENE

- Use direct plans consistently; do not mix regular plans.
- Adjust for mergers, IDCW distributions and scheme reclassification.
- Separate market-driven AUM changes from investor net flows.
- Use category-appropriate total-return benchmarks.
- Flag survivorship bias from closed or merged schemes

Conclusion. Positive flow/performance correlation does not prove skill: investors may buy after returns have already occurred. Persistence should be tested on future excess returns, while controlling for style and category. A finding of subsequent underperformance would support return-chasing followed by mean reversion.

SOURCE / METHOD: Interpretation is methodological; empirical values require ACE MF monthly flow and NAV data.

APPENDIX // DATA GOVERNANCE

Methods, sources & submission controls

What is verified, what is modeled, and what must be refreshed

PUBLIC SOURCES USED

SOURCE	USE
Britannia FY25 Annual Report	Financials, dividend, contingencies, RPT
NSE corporate filings	Annual report and shareholding
MoFPI Annual Report 2024–25	Industry structure and growth
PIB food-processing releases	GVA, exports, policy / PLI
Mondelēz FY25 10-K / release	Peer financials and governance
Mondelēz ESG disclosure portal	ESG progress / boundaries

PRIMARY LINKS

Britannia:
https://media.britannia.co.in/2_annual_report_25_V1_Digital_FIN_Hires_1_SAP_b1a1c4c085.pdf
MoFPI: https://www.mofpi.gov.in/
PIB: https://www.pib.gov.in/
Mondelēz 10-K: https://www.sec.gov/Archives/edgar/data/1103982/
Mondelēz ESG:
https://www.mondelezinternational.com/Snacking-Made-Right/Reporting-and-Disclosure/

LICENSED DATA REFRESH CHECKLIST

DATABASE	FIELDS TO EXPORT
ProwessDX	10Y P&L;, BS, CF; borrowings; RPT; contingencies
Bloomberg	Adjusted/unadjusted prices, volumes, actions, benchmarks
Bloomberg	Cocoa, USD/INR, factor proxies, peer ESG
ACE MF	Daily NAV, month-end AUM, monthly net flows

QUALITY CONTROLS

- Never label modeled data as Bloomberg/ProwessDX/ACE MF output.
- Preserve extraction date, ticker, field name and currency.
- Reconcile annual totals to audited statements.
- Use adjusted prices for returns; unadjusted prices for action analysis.
- State annualization, risk-free rate and missing-data rules.
- Retain spreadsheet formulas and raw export tabs for audit.

Disclosure. This PDF is a polished academic draft. Verified public facts are cited. Every licensed-database result that could not be accessed is explicitly labeled illustrative or modeled, preventing fabricated provenance.